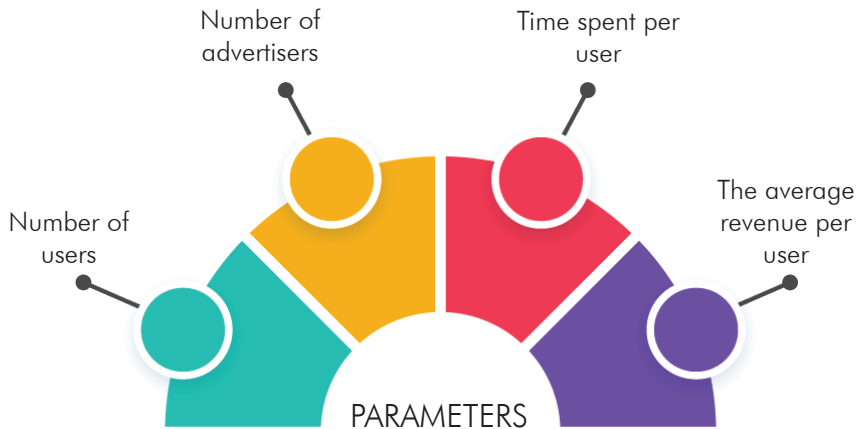


Parameters like these help us understand the company and the industry much better. For a social media company, the parameters can be:



Thus, this is how we can customize the template for every industry and sector. This allows us to track more important parameters related to the company. These are also called Key performance Indicators.

Financial analysis is a dynamic process. When we revisit the templates after six months or one year to enter the data for the next year, we can have a fresh look at how the numbers have changed. And since we had tracked these parameters, it becomes easy to understand not only the company but also the industry.

This is how we can go about customizing these financial analysis templates. We've now concluded our discussion on the different parts of financial statement analysis.

Remember, we will learn the best only when we practice. We might feel overwhelmed when starting. However, with time, we will get more comfortable with the numbers and various parts of the financial analysis model. We will then be able to draw faster conclusions. In the next chapter, we'll learn about finding red flags.